

DEBT & EQUITY

Patient Capital Replaces Impatient Capital in Sutton's Herald Square Debt

Helaba assigns \$50M mortgage to entity tied to SL Green. The transfer reveals who can afford to wait.

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A source-grounded Light Tower Insight. The complete note follows.

A German bank has quietly stepped away from a foreclosure fight with Jeff Sutton over a \$50 million mortgage on a Herald Square retail property. Helaba assigned the debt to a new entity, 29 W. 34th Street Holdings LLC, which immediately reassigned it to 29 W. 34th Street Lender LLC. The interesting part is who appears on the receiving entity's corporate filings: SL Green's chief legal officer, Andrew S. Levine, listed as executive vice president.

This is not a settlement announcement. It is a debt transfer with a specific buyer. And the buyer's identity changes the story.

Helaba originated the loan in 2018. By early 2025, it was issuing default notices over unpaid real estate taxes. By September, it had filed a foreclosure action. Sutton fought back, arguing the lender was trying to tarnish his reputation and that the property's value had been crushed by Covid, with tenants like Geox and Aldo entering bankruptcy. The city was assessing taxes as though the building generated \$6.6 million in gross rent; Sutton claimed actual rent was about \$680,000. A receiver was appointed. The litigation was messy, public, and expensive.

Now Helaba is out. The question is why.

The simplest explanation is that Helaba decided the cost of pursuing the foreclosure through to a sale, against a borrower with deep pockets and aggressive counsel, exceeded the expected recovery. The loan is \$50 million. Legal fees, receiver costs, and the time value of money during a contested foreclosure in New York can eat into recovery quickly. Selling the debt to a party with a different time horizon and a different relationship to the asset makes economic sense.

But the buyer matters. SL Green is not a distressed debt shop. It is New York's largest publicly traded office landlord. It was Sutton's joint venture partner on this property in 2006, before Sutton bought out its stake. SL Green knows the asset. It knows the basis. It knows the neighborhood. And it now controls the debt on a property it once owned a piece of.

This is not a vulture trade. It is a strategic debt acquisition by someone who can afford to wait for the

right resolution, whether that means a negotiated deed in lieu, a discounted payoff, or a restructuring that keeps Sutton in the deal under new terms. SL Green has the balance sheet to hold the paper. It has the local market knowledge to underwrite the eventual exit. And it has a relationship with Sutton that a German bank never had.

The receiver's lawsuit against Sutton personally, seeking \$12.2 million in unpaid real estate taxes, adds another layer. Sutton's attorneys have moved to dismiss, arguing the receiver is exceeding his mandate. That fight continues. But the debt transfer changes the receiver's ultimate audience. The receiver now reports, indirectly, to a party that may prefer a negotiated outcome over a forced sale.

For the broader market, this transaction reveals something about the current state of retail debt workouts. The banks that originated loans in the late 2010s, before Covid rewrote retail fundamentals, are increasingly choosing to sell rather than fight. The legal costs, the uncertainty of New York foreclosure timelines, and the difficulty of valuing assets with dramatically reduced income streams make holding distressed retail debt unattractive for a regulated lender. The buyers are entities with longer time horizons, lower cost of capital, and a willingness to work out the asset rather than liquidate it.

That pattern is not unique to this deal. It is happening across the market. Regional banks are selling nonperforming loans to private credit funds. CMBS special servicers are negotiating extensions rather than taking back assets. The capital that can wait is replacing the capital that cannot.

The question for owners with maturing debt on challenged retail assets is whether they have a relationship with a patient capital provider. Sutton had SL Green, a former joint venture partner. Most borrowers do not have that luxury. They are dealing with lenders who want out, or with special servicers who want a resolution before their own clock runs out.

Helaba's exit is not a victory for Sutton. It is a transfer of the debt to a party with a different set of incentives. The litigation may de-escalate. The receiver may find a more cooperative counterparty. But the underlying economics of the property have not changed. The rent is still a fraction of the city's tax assessment. The tenants that left have not been replaced at the same rent. The building still needs a

solution to its income problem.

What has changed is who controls the clock. Helaba was running out of patience. SL Green is not. That is the real signal in this filing.

SOURCES

— The Real Deal —

<https://therealdeal.com/new-york/2026/07/23/helaba-exits-foreclosure-lawsuit-against-jeff-sutton-s-herald-square-retail-property/>

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